Theory case · Topic 2 · 2 points · 15 min

C13 — Can a car-seat maker enter the aircraft-seat market? Barriers to entry

ComfortAuto S.A., a large maker of car seats, wants to enter the market of passenger seats for commercial aircraft. Three established firms supply almost all airlines. Each new seat model must pass crash and flammability certification that takes two years. Airlines buy seats through long contracts linked to aircraft orders, and the established firms have decades of reputation for reliability. They produce in large volumes in plants built for this purpose, and they own patents on lightweight seat frames. ComfortAuto, however, has strong engineering, low-cost purchasing of foam and fabrics, and spare plant capacity.

Part (a) · 1.25 points

Identify the barriers to entry ComfortAuto faces, using the determinants of the threat of entry

Determinant [Slide 15]	In the case
Legal and regulatory barriers	Two years of crash and flammability certification per model; patents on lightweight frames
Product differentiation	The incumbents' decades of reputation for reliability make airlines reluctant to switch
Access to distribution channels	Seats are sold through long contracts tied to aircraft orders, already held by the incumbents
Economies of scale	Incumbents produce large volumes in dedicated plants, so their unit cost is lower
Absolute cost advantage	Patents and accumulated experience (economies of learning)
Capital requirements	Certification programmes and adapting a plant require large investment before any sale

These barriers make the threat of entry low and protect the profitability of the three incumbents.

KEY POINTS

- Legal and regulatory: two-year certification; patents.
- Product differentiation: reputation for reliability.
- Access to distribution channels: long contracts linked to aircraft orders.
- Economies of scale: incumbents' volumes in dedicated plants.
- Capital requirements and absolute cost advantages (patents, experience).

Part (b) · 0.75 points

Assess whether the diversification makes sense for ComfortAuto

The diversification answers the two questions of [Slide 25] differently. **Attractiveness:** the same barriers that block ComfortAuto keep the industry profitable for those inside, so the sector is attractive. **Competitive advantage:** ComfortAuto brings real strengths (seat engineering, low-cost inputs, spare capacity), which makes this a **related diversification**, but it lacks certification, reputation and access to contracts. Entering head-on would be slow and risky; a more realistic path is to start in a niche (crew seats, business-jet seats), partner with an incumbent, or acquire a small certified firm.

KEY POINTS

- Attractive sector: high barriers keep profitability high for those inside.
- Competitive advantage: ComfortAuto has transferable strengths (engineering, cheap inputs, spare capacity) but lacks certification, reputation and contracts.
- Related diversification: a gradual entry (a niche, a partnership or acquiring a small certified firm) is more realistic.